



SPONSOR: Sen. Hoffner & Rep. Carson
Sen. Wilson; Reps. S. Moore, Snyder-Hall

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 56

AN ACT TO AMEND TITLE 25 OF THE DELAWARE CODE RELATING TO MANUFACTURED HOME TITLE TRANSFERS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend Title 25 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows and by redesignating accordingly:

§ 7003. Definitions.

For purposes of this chapter:

() “Heir” means someone who obtains an interest in a manufactured home as the result of the death of another person. This includes obtaining an interest through a will, intestate succession, or transfer on death designation.

§ 7007. Manufactured home standards.

(c) Standards for manufactured homes for resale or transfer of title and retention in the manufactured home ~~community.~~ community.

(4) A landlord shall adopt reasonable written standards regarding the resale or transfer of title of a manufactured home intended for retention in the landlord’s manufactured home community. The standards must relate only to appearance, maintenance, safety, and compliance with state and local housing, building, or health codes, and the 1976 HUD Code. A landlord may not issue standards in which the age of a manufactured home is the exclusive or dominant criterion prohibiting the home from being sold and retained in the community after the sale is consummated.

~~(2) If a manufactured home does not meet a landlord’s written standards for resale or transfer of title and retention in the manufactured home community, a tenant may attempt to bring the home into compliance with the standards. The landlord shall, within 10 days of a written request from the tenant, reevaluate the home in a reasonable and fair manner.~~

§ 7008. Provisions of a rental agreement.

(b) A rental agreement for a lot in a manufactured home community may not contain any of the following:

(22) A provision that terminates a lease due to the death of any tenant, including one that terminates due to the death of the last remaining tenant.

§ 7013. Manufactured home transfer; rented lot transfer.

(a) This section governs the sale, conveyance, or transfer of title of a manufactured home which is already located in a manufactured home community. which the buyer or transferee intends to retain in the manufactured home community. This section further extends to the landlord the right to purchase any manufactured home in the community for 1% higher than the contract price at which the tenant has agreed to sell the home to a third party.

(b)(1) A rental agreement for a lot in a manufactured home community transfers automatically under the following circumstances:

a. To the buyer or transferee of a manufactured home from a previous homeowner or heir of a deceased homeowner.

b. To the heirs of a deceased homeowner.

c. To the estate of a deceased homeowner.

(2) A community owner may not terminate a lease due to the death of a tenant, including the last living tenant on the lease.

(3) An heir who obtains an interest in a manufactured home may not be required to complete a tenant application unless the heir intends to reside in the home.

a. An heir who intends to reside in the home may only be required to submit to the criminal background portion of a tenancy application.

b. A community owner may not prohibit an heir with only a partial ownership interest in the manufactured home from residing in the community. If there is more than one heir and fewer than all of the heirs reside in the home, it is not a violation of any lease provision that may prohibit such an arrangement, including any provisions against subletting.

(3) It is not a violation of any lease provision for some or all of the heirs not to reside or occupy a home for any period of time. The heirs or the estate of the deceased homeowner must still comply with lease provisions that do not conflict with this section.

(4) It is a defense to a summary possession action for nonpayment of rent that circumstances surrounding the administration of the estate prevented payment of the rent within an otherwise allowed time period. The estate or the heirs may still be held responsible for late fees and court costs.

(5) Upon the death of the last remaining tenant in a manufactured home, the community owner may not start a summary possession action under Chapter 57 of this title for at least 90 days after the death of the tenant. The community owner may change locks for safety reasons.

(6) The personal representative of the estate, if one is opened, or the heirs to whom the home transfers if there is no estate shall provide notice to the community owner as soon as practicable notifying the community owner of the following:

a. All new owners of the manufactured home.

b. The address of each homeowner.

c. A phone number for each homeowner, if known.

d. A list of any new intended residents in the home when such information is known.

(c) Right of first refusal.

(1) An owner of a manufactured home who plans to sell, convey, or transfer title of the home to a buyer or transferee must notify the community owner in writing no less than 3 weeks prior to the scheduled, rescheduled, or final sale, conveyance, or transfer of title of the manufactured home, giving the name and address of the prospective buyer or transferee, along with a written statement or a proposed bill of sale clearly indicating the agreed sale price and terms.

a. The written notice under this section notice may be sent to the community owner at its address registered with DEMHRA or at any address it uses to regularly conduct business with residents, or may be sent via email to the community owner's designated email address. Good faith efforts on behalf of the manufactured homeowner to comply with this subsection may satisfy the requirements of this subsection.

b. The community owner may purchase the home at a price that is 10% higher than the contract price contained in a written purchase agreement.

1. The community owner must notify the homeowner in writing, delivered to the primary mailing address of the homeowner and via email, if that method was used to notify the community owner of the sale, within 7 days of the date the homeowner sent the notice of sale to the community owner. The 7 days may not be extended due to any requests by the community owner, including requests for additional information or inspections. If the community owner does not notify the homeowner in writing within 7 days, the right to purchase the home expires, unless the community owner is required to purchase the home under subsection (?) of this section.

2. If the community owner exercises its option to purchase, it must provide the seller with a 5% nonrefundable deposit at the time it notifies the seller of its intent to exercise this option.

3. If the community owner exercises its option to purchase the home, the homeowner must sell the home to the community owner, and the community owner must formally transfer the title to the community owner.

81 4. The community owner must agree to the same settlement date as provided in the notice to sell.

82 (2) The community owner does not have the right to purchase the home under the following circumstances:

83 a. A bank, mortgage company, or any other mortgagee has foreclosed on the home.

84 b. If the sale, transfer, or conveyance of the home is to a family member of the homeowner or to a trust,
85 the beneficiaries of which are family members of the homeowner on the modified Table of Consanguinity; or the
86 sale, transfer, or conveyance is to a family member of the homeowner on the modified Table of Consanguinity,
87 under § 7014 of this title, who is included within the line of intestate succession if the homeowner dies intestate.

88 c. The sale, transfer, or conveyance of the home is between joint tenants or tenants-in-common.

89 d. The transfer or conveyance is by gift, devise, or operation of law.

90 (d) Exterior inspection of home.

91 (1) If the community owner does not exercise its right to purchase the home under subsection (c) of this section, it
92 may conduct an exterior inspection of the home to determine if the home qualifies for retention in the manufactured home
93 community according to written standards promulgated under § 7007 of this title.

94 (2) If the community owner chooses to conduct an inspection under paragraph (3)a. of this subsection, it must do
95 so within 10 days of the date the homeowner sent the notice of sale to the community owner.

96 (3) Within 3 days of the inspection under paragraph (d)(1) of this section, the community owner must provide a
97 written list, with references to the applicable rules, of any conditions in violation of the standards.

98 (4) A buyer or transferee who becomes a tenant in a manufactured home community has 3 years from the date of
99 the resale or transfer to complete changes to the buyer or transferee's manufactured home required under the written
100 standards of the manufactured home community. Once the work begins on the manufactured home on a specific item from
101 the list, the necessary changes for that item must be completed within a reasonable time .

102 (5) A buyer or transferee who does not complete required changes under paragraph (d)(4) of this section is subject
103 to a summary possession proceeding pursuant to Chapter 57 of this title.

104 (e) Application for tenancy for prospective transferee.

105 (1) A community owner may require a prospective transferee to complete an application for tenancy in the
106 community and may charge a fee under § 7020(d) of this title. The application may be requested and submitted prior to the
107 submission of the notice of sale under this subsection, and a contract for sale is not required for a prospective buyer to
108 submit an application and have it considered.

109 (b) (1) A rental agreement for a lot in a manufactured home community is only transferable from an individual
110 tenant, or heir, who owns the manufactured home on the lot under the rental agreement to a transferee to whom the tenant
111 intends to sell or transfer title to the home, if all of the following apply:

112 a. ~~The home qualifies for retention in the manufactured home community according to written standards~~
113 ~~promulgated under § 7007 of this title. The community owner may conduct an exterior inspection of the home to determine~~
114 ~~if it qualifies for retention consistent with the written standards.~~

115 b. ~~After a review of the proposed rental agreement transferee's written application, the landlord accepts the~~
116 ~~proposed rental agreement transferee as a tenant.~~

117 (2) Acceptance or rejection of a proposed rental agreement transferee under this subsection must be on the same
118 basis by which the landlord accepts or rejects any prospective ~~tenant.~~ tenant, unless paragraph (b)(3) of this section applies.

119 (3) A landlord must give the rejected proposed rental agreement transferee a written statement that explains the
120 specific eligibility requirement not satisfied and the grounds for the rejection.

121 (4) Within ~~45~~ 10 days of the receipt of a completed application package of the prospective tenant, including the
122 applicable fee, ~~under subsection (c) of this section,~~ a landlord must provide written notice, to the tenant under the lot rental
123 agreement and the proposed rental agreement transferee, that states whether the proposed rental agreement transferee is
124 accepted or rejected. If the application is rejected, the notice must comply with paragraph ~~(b)(3)~~ (c)(3) of this section.

125 (5) If the community owner rejects the application of a prospective transferee with a written purchase agreement,
126 the community owner must purchase the home as though it had exercised its right to purchase under subsection (c) of this
127 section with all of the same price and timing requirements under subsection (c) of this section.

128 (f) Right to purchase the transfer of the lease.

129 (1) At any time prior to the community owner becoming aware of a homeowner's intent to sell a
130 manufactured home, a community owner may prevent the transfer of a lease by paying the homeowner an amount
131 of equal to or greater than the amount of 12 months' lot rent.

132 (2) The community owner may not exercise this right once notice has been sent under subsection (c) of
133 this section or once the community owner knew or should have known that the homeowner intends to sell the
134 manufactured home.

135 ~~(c) A tenant who owns a manufactured home in a manufactured home community, and plans to sell, convey, or~~
136 ~~transfer title to the home to a buyer or transferee who intends to retain the home in the manufactured home community,~~
137 ~~must notify the landlord in writing 3 weeks prior to the scheduled sale, conveyance, or transfer of title of the manufactured~~
138 ~~home and the transfer of the lot rental agreement, giving the name and address of the prospective buyer or transferee, along~~

with a written statement or a proposed bill of sale clearly indicating the agreed sale price and terms. Failure on the part of a tenant to so notify the landlord is grounds for termination by the landlord of the tenant and landlord's rental agreement.

(1) The landlord has the right to purchase the home at a price of 1% higher than the contract price and under the same terms at which the tenant has agreed to sell the home to a third party.

(2) If the landlord wishes to purchase the home at 1% higher than the contract price and under the same terms at which the tenant has agreed to sell the home to a third party, the tenant must sell the home to the landlord.

(3) Upon receipt of the name and address of the prospective buyer or transferee and the agreed sale price and terms, the landlord shall notify the tenant in writing within 5 business days that the landlord is exercising the right to purchase the home. If the landlord does not notify the tenant in writing under § 7015 of this title within 5 business days that the landlord is exercising the right to purchase the home, the right of the landlord to purchase the home expires.

(4) The landlord's notice must be sent to the tenant under § 7015 of this title. The notice must clearly state that the price and terms are acceptable, and must set a settlement date within 14 days.

(5) The right of the landlord to purchase a tenant's home does not extend to the following circumstances:

a. A bank, mortgage company, or any other mortgagee has foreclosed on the home.

b. The sale, transfer, or conveyance of the home is to a family member of the homeowner or to a trust, the beneficiaries of which are family members of the homeowner on the modified Table of Consanguinity; or the sale, transfer, or conveyance is to a family member of the homeowner on the modified Table of Consanguinity, under § 7014 of this title, who is included within the line of intestate succession if the homeowner dies intestate.

c. The sale, transfer, or conveyance of the home is between joint tenants or tenants in common.

d. The transfer or conveyance is by gift, devise, or operation of law.

(6)(g)(1) A landlord may not engage in any act or activity with the intention of placing undue influence or undue pressure on a tenant to sell the tenant's home to the landlord.

a. A tenant may file an action in a court of competent jurisdiction for actual damages sustained when the tenant reasonably believes that the landlord wilfully has done any of the following:

1. Exerted undue influence or undue pressure on the tenant to sell the tenant's home to the landlord.

2. Exerted undue influence or undue pressure on a former tenant which resulted in the sale of the former tenant's home to the landlord.

3. Did not evaluate the home in a reasonable and fair manner when applying written standards for resale or transfer of the manufactured home in the community under § 7007(c) of this title.

4. Unreasonably denied a prospective tenant's application for residency in the community.

169 5. Engaged in any other actions that a reasonable person under the circumstances would find had the
170 purpose of preventing the transfer of the home or the lease.

171 b. ~~It is an affirmative defense to a claim that a landlord engaged in an act or activity with the intention of placing~~
172 ~~undue influence or undue pressure on a tenant or former tenant by initiating a rent increase, if the landlord provides proof~~
173 ~~that the increased rent is within the range of market lot rents.~~

174 e.b. If a court finds that a landlord has wilfully engaged in any of the acts enumerated in paragraph (c)(6)a. of this
175 section, the landlord is liable to the tenant or former tenant for 3 times the actual damages sustained as a result of the
176 landlord's acts and reasonable court costs or 3 times the monthly rent, whichever is higher.

177 (2) Violations by a community owner of this section is an unlawful practice under § 2513 of Title 6 and a violation
178 of subchapter II of Chapter 25 of Title 6.

179 d. ~~If a finds that a landlord has wilfully engaged in an act or activity with the intention of placing undue influence~~
180 ~~or undue pressure on a current or former tenant in order to purchase the current or former tenant's home, the landlord may~~
181 ~~not exercise that landlord's own right to buy any tenant's home for 365 days. Each offense is subject to a 365-day penalty.~~

182 (d) ~~If a landlord accepts a proposed rental agreement transferee, the transfer of an existing rental agreement must~~
183 ~~be completed using 1 of the following 2 methods at the exclusive discretion of the individual tenant, or heir, under the lot~~
184 ~~rental agreement for the manufactured home, and the proposed rental agreement transferee and landlord are bound by that~~
185 ~~selection:~~

186 (1) ~~The tenant proposing to transfer the existing lot rental agreement agrees to an assignment of the lot rental~~
187 ~~agreement to an approved rental agreement transferee, with all of the existing obligations and benefits, including the rental~~
188 ~~amount under the existing rental agreement, for the remaining term of the agreement.~~

189 a. ~~If the method under paragraph (d)(1) of this section is selected, the existing rental agreement between the~~
190 ~~existing tenant and the landlord is simultaneously assigned by the existing tenant and assumed by the approved rental~~
191 ~~agreement transferee and the approved rental agreement transferee becomes the new tenant.~~

192 b. ~~Upon the sale, assignment, and assumption, the landlord must amend the existing lot rental agreement and list~~
193 ~~the approved rental agreement transferee as the new tenant.~~

194 (2) ~~The tenant who is selling the manufactured home chooses to terminate the existing lot rental agreement. The~~
195 ~~buyer must then negotiate the terms of and enter into a new rental agreement for a full term at a rental amount set by the~~
196 ~~landlord. If this method is selected, the existing rental agreement is terminated upon the execution of the new rental~~
197 ~~agreement.~~

198 (e) Notwithstanding the provisions of this section and § 7007 of this title, written standards which were in effect
199 on January 1, 2003, relating to the sale or transfer of title of a manufactured home for retention in a manufactured home
200 community will apply for a sale or transfer of title during 2003. For a sale or transfer on January 1, 2004, and thereafter,
201 standards promulgated under § 7007 of this title apply. In addition, a buyer or transferee who becomes a tenant in a
202 manufactured home community has 3 years from the date of the resale or transfer to complete changes to the buyer or
203 transferee's manufactured home required under the written standards of the manufactured home community. However, if
204 the changes are necessary to protect life or for other safety reasons, the landlord may require that changes be made in less
205 than 3 years. Further, if a seller-tenant does not make necessary changes to meet the standards prior to sale, the buyer or
206 transferee shall deposit 120% of the estimated cost of the changes necessary to meet the standards into an account jointly
207 controlled by the landlord and the buyer or transferee. Once work begins on the manufactured home, the necessary
208 changes must be completed within a reasonable time.

209 (f) A buyer or transferee who does not complete required changes under subsection (e) of this section is subject to
210 a summary possession proceeding pursuant to Chapter 57 of this title.

SYNOPSIS

This Act updates the procedures governing the transfer of a manufactured home located in a manufactured home community in order to provide a clearer process and reduce ambiguities that allowed some community owners to prevent the transfer of a lease or a home as well as prevent family members from inheriting the investment made by a deceased family member in a home.

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